CASE STUDY · **NYSE: KO**

What is Coca-Cola actually worth?

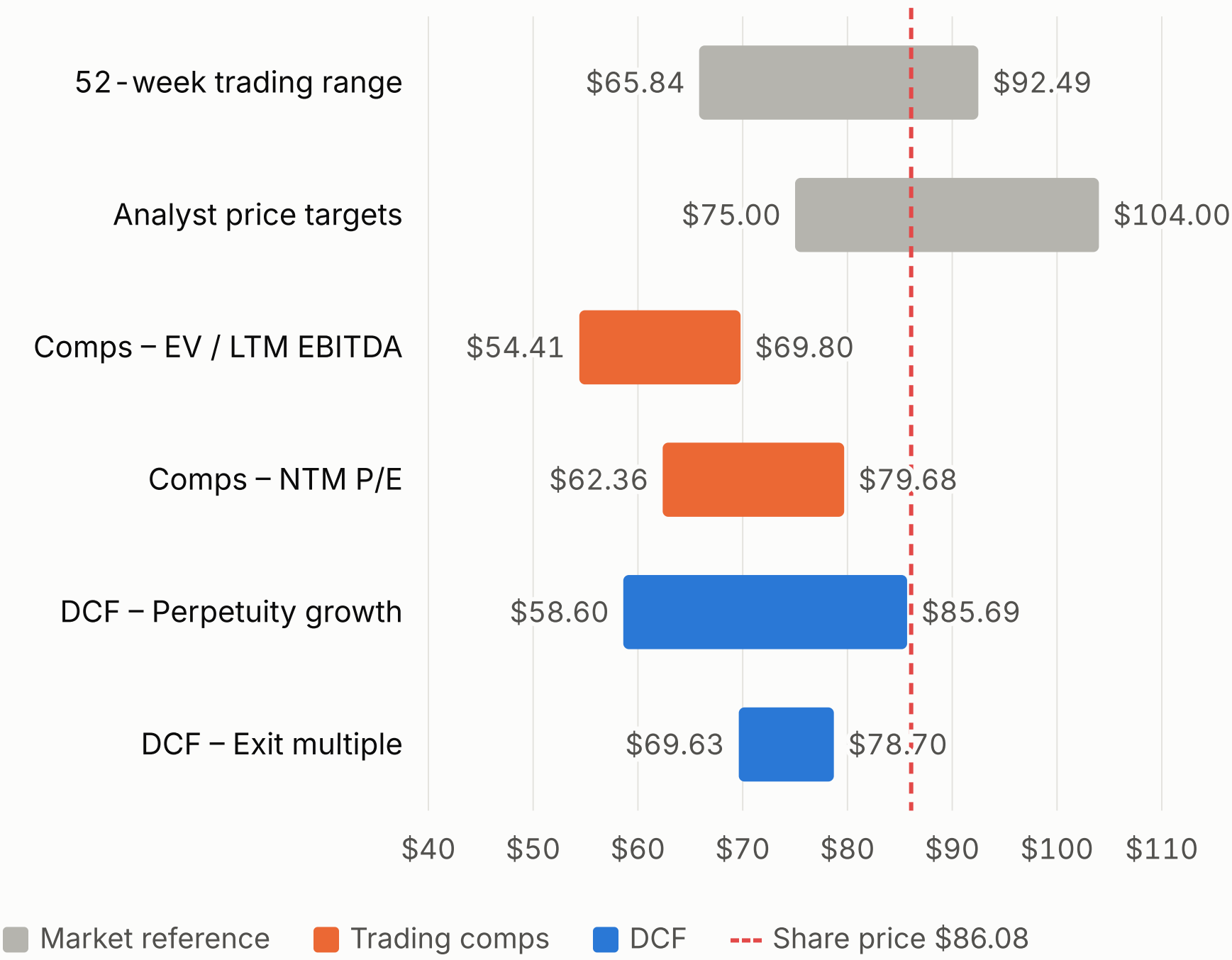
I've been a Coca-Cola customer my whole life but never thought about being a shareholder. So I built a full DCF, trading comps and a football field from scratch.

$69–74	**$86.08**	**14–20%**
DCF value per share	Share price, 9/30/2026	Below the market price

Swipe →

THE ANSWER UP FRONT

Fundamentals say $54–86. The market says $86.



- Every fundamental method sits **at or below** the current price; only the 52-week range and analyst targets reach it.
- KO trades at **21.2x LTM EBITDA** vs. a peer median of 12.6x: the market pays a large premium for the brand and its defensive cash flows.

STEP 1 · PROJECTIONS

Revenue dips in FY27. Margins jump. Both for the same reason.

$bn	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	47.9	49.6	48.1	50.3	52.3	53.9
Growth	1.9%	3.5%	-3.0%	4.5%	4.0%	3.0%
Adj. EBIT	15.0	15.6	16.1	16.9	17.7	18.2
Margin	31.3%	31.5%	33.5%	33.7%	33.8%	33.8%
Unlevered FCF	**11.9**	**11.5**	**11.8**	**12.9**	**13.5**	**13.9**

FY27 revenue: −3.0%

+4.5% organic growth, offset by −7.5% from deconsolidating CCBA, the African bottler KO is selling a controlling stake in.

FY27 margin: 31.5% → 33.5%

A mix effect. Bottling earns ~7% margins vs. KO's 31%. Pro forma FY25 ex-CCBA is already 33.2%. EBIT dollars still grow ~3%.

Adj. EBIT adds back other operating charges (impairments, fairlife contingent consideration, restructuring). NWC held at −10% of revenue: growth releases cash. Tax 20%.

WACC of 7.65%: built from peers, checked against KO

Peer	Adj. beta	D / E	Unlevered beta
PepsiCo	0.57	0.31	0.46
Keurig Dr Pepper	0.60	0.84	0.36
Monster Beverage	0.66	0.00	0.66
Coca-Cola Europacific Partners	0.65	0.31	0.53
Median → relevered at KO's D/E of 0.12			**0.49 → 0.54**

Blume-adjusted (0.67 × raw + 0.33). Hamada: βU = βL / [1 + (1 – t) × D/E]. KO's own adjusted beta: 0.54, a close cross-check.

Cost of equity = 5.29% + 0.54 × 5.0% = **7.99%**

After-tax cost of debt = 5.88% × (1 – 20%) = **4.70%**

WACC = 89.5% × 7.99% + 10.5% × 4.70% = **7.65%**

Risk-free: 10Y UST 9/30/26. ERP: Kroll 5.0%. Cost of debt: ICE BofA single-A index (KO rated A+/A1). Market-value weights. Model uses WACC rounded to 7.65%.

STEP 3 · TERMINAL VALUE

Two methods, each used to check the other

Perpetuity growth

FY30E UFCF $13.9bn × (1 + 3.0%)
÷ (7.65% − 3.0%)

$307.1bn

Implies **15.9x** FY30E EBITDA. I didn't pick 15.9x; it's what 3% growth means in multiple terms.

Exit multiple

FY30E EBITDA $19.3bn
× 18.0x

$347.2bn

Implies **3.5%** perpetual growth.

Why 18.0x?

- A premium to the peer median of 12.6x: KO's ~33% margins and asset-light model deserve it.
- A discount to the 21.2x KO trades at today: some multiple compression as the business matures toward 2030.

Terminal value is 83%–84% of EV, typical for a mature business on a 5-year forecast, which is why the sensitivity tables matter. Mid-year convention; 9/30 stub period.

STEP 4 · ENTERPRISE VALUE TO SHARE PRICE

From $279.7bn of EV to $69.24 per share

Perpetuity growth case, $bn	
PV of FY26–30E unlevered FCF	46.9
PV of terminal value	232.9
Enterprise value	**279.7**
Less: total debt	-43.5
Plus: cash & short-term investments	16.4
Plus: equity stakes (listed at market value)	45.0
Less: noncontrolling interests	-2.2
Plus: CCBA sale proceeds, retained 25% & NCI	3.3
Equity value	**298.6**
÷ Diluted shares (mm)	4,313
Implied value per share	**$69.24**

Exit multiple case: EV $300.6bn → **$74.08** per share.

KO's stakes in Monster, CCEP, Coca-Cola FEMSA, Coca-Cola HBC and others are worth ~$45bn at market vs. ~$21bn on the balance sheet. Their income is excluded from EBITDA, so their value is added here.

STEP 5 · SENSITIVITY

Beta is the whole debate

Implied share price, perpetuity growth method. ▲ = at or above the $86.08 share price. Outlined = base case.

	Perpetuity growth rate →				
WACC	2.0%	2.5%	3.0%	3.5%	4.0%
6.65%	$71	$78	$87 ▲	$98 ▲	$115 ▲
7.15%	$64	$70	$77	$86	$97 ▲
7.65%	$59	$64	**$69**	$76	$85
8.15%	$55	$59	$63	$68	$75
8.65%	$51	$54	$58	$62	$68

The interesting part wasn't the number

Swap the peer-based beta (0.54) for KO's raw regression beta (0.32), and cost of equity falls to ~6.9%, WACC to ~6.7%, and the value lands at ~$87: almost exactly the share price. The market is pricing Coke as a near bond-like asset. Whether that's fair is the real debate.

STEP 6 · TRADING COMPS

Peers trade at 12.6x. KO trades at 21.2x.

Company	EV / LTM EBITDA	NTM P/E
PepsiCo	11.4x	14.7x
Keurig Dr Pepper	11.9x	12.3x
Monster Beverage	26.6x	32.8x
CCEP	13.3x	18.7x
Peer median	**12.6x**	**16.7x**
Coca-Cola at $86.08	**21.2x**	**24.8x**

Selected ranges

EV / EBITDA 13.0x–17.0x → **$54.41–$69.80**
NTM P/E 18.0x–23.0x → **$62.36–$79.68**

A premium to peers; Monster excluded from range-setting as a high-growth outlier.

Adjustments that mattered

- KDP pro forma for JDE Peet's (closed 4/1/26): LTM EBITDA $6.6bn
- KO EBITDA excludes CCBA, already valued in the bridge
- CCEP translated from EUR at 1.1355

TAKEAWAYS

What building this taught me

- **Every number needs a reason.** 15.9x is an output; 18x is a judgment. Know which is which.
- **Numerator and denominator must cover the same assets.** That one rule drove the CCBA, KDP and equity-stake adjustments.
- **The gap to the market is a story, not an error.** Here it comes down to how risky you think Coke is.

If I took it further

- Extend to a 10-year forecast with a fade period to reduce reliance on terminal value
- Add bull / base / bear operating scenarios
- Add precedent transactions to the football field

Full Excel model:
github.com/peterdeng0812-star/Coca-cola-dcf-2026

Personal learning project, not investment advice. Sources: KO, PEP, KDP, MNST and CCEP SEC filings and earnings releases; market data and consensus estimates from Stock Analysis (S&P Global) and MarketBeat; FX from the ECB; Treasury yields from treasury.gov.